Pricing SOP

teeco

Pricing is your profit lever, it works from anywhere, and it is never set-it-and-forget-it. The metric that matters is revenue per turn, not revenue per night: what one booking nets you after the fixed cost of turning the home over between guests.

Set the six rules below in your pricing tool (we use PriceLabs) and let them run. Then keep them tuned with the weekly check at the end of this SOP.

The Six Pricing Rules

1. **Weekends: 3-night minimum.** Weekend demand is strong enough to support the rule. This one setting reduces turnover burnout and raises what every booking nets you.
2. **Weekdays: 2-night minimum.** Softer demand, softer rule. But still no 1-night turnovers as the default.
3. **Last minute: 1-night minimum.** For vacant dates coming up fast, drop the wall. A short booking beats an empty home you were never going to fill with a long one.
4. **Orphan nights: discount to fill.** When longer bookings leave a stranded 1–2 night gap between them, drop the price slightly and let the gap fill. Those nights have no other buyer.
5. **Last-minute discounts: automate 5–10% off** for vacant nights 3–10 days out.
6. **Holiday and event spikes: boost 20–50%** for Thanksgiving, July 4, ski season, and local festivals. Stretch minimums to match.

Will longer minimums cost you bookings? Yes. The bad ones. You'll take fewer bookings and earn more per booking.

Reference setup (a real 3-bedroom cabin running a $250–$300 ADR):

SETTING	VALUE
Base rate	$269 midweek, $299–$349 weekends. Revisit every 30–60 days as reviews grow.
Minimums	2 nights off-peak, 3–4 nights on holidays
Orphan nights	Discounted to $229–$249 to close gaps
Hot tub and fire pit	+$50/night. Validate what an amenity earns in your market with Rabbu before you buy it.

Why revenue per turn wins:

	2-NIGHT STAY	4-NIGHT STAY
Nightly rate	$200	$180
Gross revenue	$400	$720
Cleaning + supplies	$150	$150

	2-NIGHT STAY	4-NIGHT STAY
Net revenue	**$250**	**$570**
Margin per turn	62.5%	79%

The lower nightly rate nets $320 more.

The Launch Pricing Ladder

Don't start at your target price. A new listing with zero reviews at full price is invisible. Set launch pricing 15–20% below your comps, and the ladder assumes you take the aggressive end: the full 20%. Offer extras like early check-in or free firewood, and set a 3-night minimum to reduce turnovers and keep control of your calendar.

PHASE	PRICE	WHY
Weeks 1–2 (launch)	The full 20% below market (comps at $200 means you're at $160)	Your goal is reviews and social proof, not profit. The new listing boost is active; use it aggressively.
Weeks 3–4	10% below market ($180)	You have 2–3 reviews. You're building credibility without fully discounting.
Month 2 (Days 29–56)	Market rate ($200)	With 5+ reviews and real booking momentum, guests see you're reviewed and competitive.
Months 3–6	5–10% above market ($210–$220)	If your rating is 4.8+ and occupancy is strong, your reviews justify the premium. You're now optimizing for profit, not bookings.

You're not discounting. You're buying reviews at the cheapest price they'll ever be.

Why Review Velocity Drives the Ladder

- New reviews boost visibility more than old ones. A property with 3 reviews in the last 7 days can outrank a property with 50 lifetime reviews and none recent.
- Your first 3–5 guests are gold. Their reviews anchor your reputation and drive your early ranking.
- Pricing competitiveness is a ranking factor: a nightly rate 20% higher than similar properties with similar reviews ranks lower. Go below market in month one to gain reviews, then at market, then above market once your reviews justify it.
- Launch at 20% below market and collect 5-star reviews from your first five guests, and you've reset your baseline. Guests will book you at market rate or above because your reviews say you're worth it.

The Weekly 15-Minute Calendar Review

Rates drifting while nobody's watching are the quiet failure. Open the PriceLabs Market Dashboard once a week (every other week at minimum) and run this:

- [ ] **Minutes 1–5: scan the market.** What are comparable listings actually getting per night? Where is the season heading? How does occupancy look? How far out are guests booking?
- [ ] **Minutes 5–8: check the six rules.** If the market has moved and a rule hasn't, adjust it. Confirm minimums, last-minute discounts, and orphan-night discounts are still doing their jobs.
- [ ] **Minutes 8–11: look ahead.** Any holidays or local events coming? Boost 20–50% and stretch minimums to match. Any stranded 1–2 night gaps? Discount them to fill.
- [ ] **Minutes 11–13: confirm calendars are synced.** Hospitable syncs Airbnb, Vrbo, and Booking.com in real time. Furnished Finder requires manually blocking dates when bookings land, so keep a shared doc with your team. A double-booking is a 1-star review waiting to happen.
- [ ] **Minutes 13–15: base-price check.** Early on, update your base price and rules every 2–4 weeks until things stabilize. As reviews grow, revisit the base every 30–60 days.